

MGT101:FINANCIAL ACCOUNTING

ASSIGNMENT .1

QUESTION :

ABC Brothers showed balances of Cash in hand Rs. 800,000, Cash at bank Rs. 700,000, Debtors Rs. 35,000 and Creditors Rs. 45,000 as on 1st July 2024. Some transactions of Rahim Brothers for the month of July 2024 are given below.

Date	Transactions
4th July	Machinery purchased from ABC Machine Corporation for Rs. 250,000 and payment is made through cheque.
7th July	Goods purchased amounting to Rs. 30,000 on account.
9th July	Goods for Rs. 15,000 have been stolen during the period.
15th July	Rs. 10,000 paid to creditors.
24th July	Sold goods to a customer for Rs. 20,000 on credit basis
28th July	Cash collected from a customer Rs. 5,000.
29th July	A cheque of Rs. 150,000 received against the sale of spoiled part of machinery

Required: Based on the transactions given in the previous page, calculate the amount/balance of the following accounts at the end of July 2024. 1- Debtors 2- Creditors 3- Cash in hand 4- Cash at bank.

SOLUTION:

Given Information:

Opening Balances on 1st July 2024:

Cash in Hand: Rs. 800,000

Cash at Bank: Rs. 700,000

Debtors: Rs. 35,000

Creditors: Rs. 45,000

Transactions and Adjustments:

1. 4th July: Machinery purchased for Rs. 250,000, payment by cheque.

- Bank decreases by Rs. 250,000.

2. 7th July: Goods purchased on account for Rs. 30,000.

- Creditors increase by Rs. 30,000.

3. 9th July: Goods worth Rs. 15,000 were stolen.

- Cash in Hand decreases by Rs. 15,000.

4. 15th July: Paid Rs. 10,000 to creditors.

- Cash in Hand decreases by Rs. 10,000.

- Creditors decrease by Rs. 10,000.

5. 24th July: Goods sold on credit for Rs. 20,000.

- Debtors increase by Rs. 20,000.

6. 28th July: Cash collected from a customer Rs. 5,000.

- Debtors decrease by Rs. 5,000.

- Cash in Hand increases by Rs. 5,000.

7. 29th July: Cheque of Rs. 150,000 received from sale of spoiled machinery.

- Bank increases by Rs. 150,000.

Calculations:

1. Debtors:

Opening Balance + Credit Sale - Cash Collected

$$= 35,000 + 20,000 - 5,000$$

$$= 50,000$$

2. Creditors:

Opening Balance + Credit Purchase - Payment to Creditors

$$= 45,000 + 30,000 - 10,000$$

$$= 65,000$$

3. Cash in Hand:

Opening Balance - Stolen Goods - Payment to Creditors + Cash Collected

$$= 800,000 - 15,000 - 10,000 + 5,000$$

$$= 780,000$$

4. Cash at Bank:

Opening Balance - Machinery Payment + Cheque Received

= 700,000 - 250,000 + 150,000

= 600,000

Final Balances:

Debtors: Rs. 50,000

Creditors: Rs. 65,000

Cash in Hand: Rs. 780,000

Cash at Bank: Rs. 600,000.
